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Composed

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FINALTERM EXAMINATION

Fall 2008

MGT301- Principles of Marketing (Session - 3)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

If a company's customers are concentrated in a small geographic area and the company sells technical products, which promotion method will it most likely use?

- > **Advertising**
- > Publicity
- > Personal selling
- > Sales promotion

Question No: 2 (Marks: 1) - Please choose one

Which of the following option is **NOT** related with environmental sustainability strategies?

- > Pollution prevention
- > Product stewardship
- > **Production of non environment friendly products**
- > New environmental technologies

Question No: 3 (Marks: 1) - Please choose one

Which one the following options is related with this statement “Innovations in research and development of technologies, products and markets, set standards and shares them with other firms. This shows small or moderate country market shares but high shares when all strategic "standards users" are included.”

- > **Global leader strategy**
- > Global challenger strategy
- > Global collaborator strategy
- > Global follower strategy

Question No: 4 (Marks: 1) - Please choose one

GATT stands for which one of the following?

- > General Agreement on Tariffs and Tax
- > General Agreement on Tax and Trade
- > **General Agreement on Traffic and Trade**
- > General Agreement on Tariffs and Trade

Question No: 5 (Marks: 1) - Please choose one

Which one of the following is a position option open to smaller firms that serves some part of the market that is not likely to attract the attention of the larger firms?

- > Market leader
- > Market challenger
- > Market follower
- > **Market niche**

Question No: 6 (Marks: 1) - Please choose one

Which one of the following faces three challenges: expanding the total market, protecting market share and expanding market share?

- > **Market leader**
- > Market challenger
- > Market follower
- > Market niche

Question No: 7 (Marks: 1) - Please choose one

Review of the sales, costs and profit projections for a new product to find out whether these factors satisfy the company's objectives comes under which one of the following concepts?

- > **Business Analysis**
- > Product Development
- > Test Marketing
- > Commercialization

Question No: 8 (Marks: 1) - Please choose one

The concept of market _____ arranges for a product to occupy a clear, distinctive, and desirable place relative to competition.

- > **Positioning**
- > Place
- > Price
- > Product

Question No: 9 (Marks: 1) - Please choose one

Which one of the following are low-growth, low-share businesses and products (they may generate enough cash to maintain them, but do not have much future)?

- > Dogs
- > Cash Cows

> Stars

> **Question Marks**

Question No: 10 (Marks: 1) - Please choose one

Which one of the following authorities might use several tools like news, speeches and special events for the marketing purpose?

> Advertising agencies

> Advertising specialists

> **Public relation professionals**

> Computer programmers

Question No: 11 (Marks: 1) - Please choose one

Catalog marketing can be personalized on a one-to-one basis. Which one of the following is **NOT** a common form of catalog marketing?

> Print catalog

> **Video catalog**

> Add-on catalog

> Electronic catalog

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is the fastest growing form of marketing that reach more customers and save money?

- > **Advertising**
- > Direct marketing
- > Public relations
- > Personal selling

Question No: 13 (Marks: 1) - Please choose one

Three common techniques are used by sales managers to boost sales force morale. These include the organizational climate, sales quotas and which one of the following is the third technique?

- > **Positive incentive**
- > Positive thinking
- > Positive recognition
- > Positive feedback

Question No: 14 (Marks: 1) - Please choose one

Sales managers must also make decisions about organizing the sales force. Assuming the sales force is to be managed internally, the sales manger has four broad choices for organizing the sales force. Which of the following is **NOT** one of these four choices?

- > **Product-based**
- > Geographically-based
- > Demographically-based
- > Customer-based

Question No: 15 (Marks: 1) - Please choose one

The various stages of the personal selling process are illustrated below, which one of the following is **NOT** specific roles of the sales representative?

- > **Negotiating and closing the sale**
- > Sales presentation
- > Prospecting
- > Devising product strategy

Question No: 16 (Marks: 1) - Please choose one

"Looking for new customers" refers to which one of the following concept?

- > **Soliciting**
- > Presenting
- > Prospecting
- > Qualifying

Question No: 17 (Marks: 1) - Please choose one

Mr. Rahil is shopping at a departmental store. He completes an entry form at the checkout for a prize draw which gives him a chance to win a new car. He is participating in which of the following?

- > **Consumer contest**
- > Sales contest
- > Sales competition
- > Consumer sweepstake

Question No: 18 (Marks: 1) - Please choose one

Which of the following advertising becomes more important to build selective demand as competition increases?

- > **Persuasive advertising**
- > Informative advertising
- > Patronage advertising
- > Reminder-oriented advertising

Question No: 19 (Marks: 1) - Please choose one

Which one of the following advertising decisions can be classified by primary purpose, whether the aim is to inform, persuade or remind?

- > **Advertising objectives**

- > Advertising budgets
- > Advertising strategies
- > Advertising campaigns

Question No: 20 (Marks: 1) - Please choose one

Which one of the following advertising is required by a product in the maturity stage?

- > Informative
- > Comparative
- > Persuasive
- > **Reminder**

Question No: 21 (Marks: 1) - Please choose one

If you are attempting to create primary demand toward your product, you will use which type of the following ads?

- > **Informative**
- > Persuasive
- > Reminder
- > Cooperative

Question No: 22 (Marks: 1) - Please choose one

Pull promotion is one of the promotion mix strategies. Which of the following are heavy expenditures in pull promotion?

- > **Advertising and sales promotion**
- > Public relations and distribution
- > Personal selling and public relations
- > Distribution and advertising

Question No: 23 (Marks: 1) - Please choose one

Proctor and Gamble periodically sends out coupons and free samples of products. This illustrates to which one of the following elements of the promotion mix?

- > Advertising
- > Personal selling
- > **Sales promotion**
- > Publicity

Question No: 24 (Marks: 1) - Please choose one

Which one of the following concepts is considered as the basic role of promotion?

- > Information
- > Manipulation
- > Communication
- > **Interpretation**

Question No: 25 (Marks: 1) - Please choose one

Eliminating a wholesaler from a marketing channel results in which of the following?

- > Will cut costs and lead to lower prices in the market
- > May or may not lower prices and will not eliminate the functions performed by the wholesaler
- > Will eliminate the functions performed by the wholesaler and will lower costs
- > **Will reduce channel conflict among the channel members**

Question No: 26 (Marks: 1) - Please choose one

Nike maintains a good deal of control over how its products are promoted, displayed, and sold. Because of this control, Nike would be appropriately described as which of the following?

- > Intermediary
- > **Leader**
- > Allocator
- > Terminator

Question No: 27 (Marks: 1) - Please choose one

Competitor price increases are more likely to be followed when they are due to:

- > Falling sales
- > **General rising costs**
- > Increased advertising
- > Price wars

Question No: 28 (Marks: 1) - Please choose one

Three key issues associated with initiating price changes are, the circumstances, the tactics and:

- > Sales targets
- > Bad publicity
- > Stock levels
- > **Competitor reactions**

Question No: 29 (Marks: 1) - Please choose one

Which one of the following pricing method is the simplest pricing method?

- > Value-based
- > Fixed cost
- > **Cost-based**
- > Skimming

Question No: 30 (Marks: 1) - Please choose one

When management at Yamaha Motorcycles makes decisions on saddlebags, handle bars, and seats for its bikes, they become engaged in which one of the following pricing?

- > Product line pricing
- > **Optional-product pricing**
- > Captive-product pricing
- > Value-based pricing

Question No: 31 (Marks: 1) - Please choose one

A penetration-pricing policy is particularly appropriate when demand is:

- > **Increasing**
- > Highly elastic
- > Highly inelastic
- > Decreasing

Question No: 32 (Marks: 1) - Please choose one

Management at Philips Electronics is having difficulty in raising the introductory price on system components to cover its increased costs. Apparently, Philips used a _____ pricing policy in pricing these components.

- > Odd-even
- > Skimming
- > Penetration
- > **Psychological**

Question No: 33 (Marks: 1) - Please choose one

Which one of the following pricing objectives is rarely operational because its achievement is difficult to measure?

- > Return on investment
- > Profit maximization
- > Market share
- > **Survival**

Question No: 34 (Marks: 1) - Please choose one

Price is a key element in the marketing mix because it relates directly to:

- > The size of the sales force
- > The speed of an exchange
- > The control of quality
- > **The generation of total revenue**

Question No: 35 (Marks: 1) - Please choose one

After concept testing, a firm would engage in which stage for developing and marketing a new product?

- > **Marketing strategy development**
- > Business analysis
- > Product development
- > Test marketing

Question No: 36 (Marks: 1) - Please choose one

Which of the segmenting strategies carries higher-than-average risks in consumer markets?

- > **Concentrated**
- > Differentiated
- > Undifferentiated
- > Multiple-segment

Question No: 37 (Marks: 1) - Please choose one

When the size, purchasing power and profiles of business market segments can be determined, they are said to possess the requirement of being what?

- > **Measurable**
- > Accessible
- > Substantial

- > Actionable

Question No: 38 (Marks: 1) - Please choose one

The fact that organizational customers purchase products to be used directly or indirectly in the production of goods and services to satisfy customers' needs. This situation shows which of the following demands?

- > Joint
- > **Derived**
- > Inelastic
- > Fluctuating

Question No: 39 (Marks: 1) - Please choose one

Learning occurs through the interplay of all of the following **EXCEPT**:

- > Drives
- > Stimuli
- > Cues
- > **Behavior**

Question No: 40 (Marks: 1) - Please choose one

ABC Research Group must guard against problems during the implementation phase of marketing research for its clients. Typically, management will not encounter which of these problems?

- > Respondents who refuse to cooperate or give biased answers
- > Interviewers who make mistakes or take shortcuts
- > Interpreting and reporting the findings
- > **Primary data that conflict with secondary data**

Question No: 41 (Marks: 1) - Please choose one

Identify the concept that elaborates the systematic collection and analysis of publicly available information about competitors and developments in the marketing environment.

- > Marketing data
- > **Marketing intelligence**
- > Web Master
- > Secondary data

Question No: 42 (Marks: 1) - Please choose one

The marketing information system is not limited to use by the company. It may also provide information to which of the following?

- > The government
- > External partners
- > **Various publics**
- > Competitors

Question No: 43 (Marks: 1) - Please choose one

Which of the following forces shows the marketing macro environment?

- > Demographic, economic, natural, technological, political, and social
- > Demographic, natural, economic, political, social, and cultural
- > **Demographic, economic, natural, technological, political, and cultural**
- > Demographic, economic, natural, social, political, and legal

Question No: 44 (Marks: 1) - Please choose one

In the Boston Consulting Group approach, which one of the following is a measure of company strength in the market?

- > **Relative market share**
- > BCG matrix
- > Business portfolio
- > Market growth rate

Question No: 45 (Marks: 1) - Please choose one

ABC Company's strategy of cutting prices on its cigarettes to enlarge its market share in the increasingly competitive tobacco industry refers to which of the following strategies?

- > Product development

- > Market development
- > **Product penetration**
- > Concentric integration

Question No: 46 (Marks: 1) - Please choose one

In the Boston Consulting Group approach, which one of the following measure provides a measure of market attractiveness?

- > Business portfolio
- > BCG matrix
- > **Market growth rate**
- > Relative market share

Question No: 47 (Marks: 1) - Please choose one

In case of an intense competition there are a number of manufacturers and buyers who have more options for product switching. Which one of the following forces represents it?

- > **Threat of new entrants**
- > Bargaining power of buyers
- > Bargaining power of suppliers
- > Rivalry among competing firms

Question No: 48 (Marks: 1) - Please choose one

When a customer pays Rs.1000 and receives a television set in return. What does this example shows?

- > Exchange
- > **Transaction**
- > Market
- > Segment

Question No: 49 (Marks: 1) - Please choose one

In a Michael Porter Model, which one of the following options is a major tool in the identification of ways to create value in an organization?

- > Chain model
- > **The BCG model**
- > Five forces model
- > Value chain model

Question No: 50 (Marks: 1) - Please choose one

Which one of the following option is **NOT** a benefit of internet marketing?

- > Cost effective
- > Time saving
- > **Reliability**

> Open new venue

Question No: 51 (Marks: 5)

Retailers may offer one of three levels of service. Describe the types of retailers on the basis of services they offer?

Retailers are divided into 2 groups, store retailers and non store retailers. The services which store retailer performs are the product line sold, retail organization format, control of outlets and relative prices charging. The service which non store retailers perform are they do door to door selling, direct marketing, telephone and TV shopping shows. Online services and internet Etc.

Question No: 52 (Marks: 10)

What do you understand by the term “**Communication**”, how many element are in communication process. Enlist those elements with a brief explanation.

Communication: it is a process of sending and receiving messages and getting a response.

In communication process there are the following 7 elements.

Message: it is the data which sender wants to transmit

Media; it is a channel or medium used for communication. For example, internet, phone or letter.

Decoding is a process in which the receiver translates the message of sender into its original form.

Receiver is the person who receives the sender's message.

Response is the reaction of the receiver after he receives the message.

Feedback is the message of the receiver to the sender.

Noise is the distorted or barriers in the communication process.

Question No: 53 (Marks: 10)

Decision of the Pricing is very critical for marketers in today's market, how would you explain this concept of **Price** and write alternate names that you can call the price? Are pricing for profit organization or for non-profit organization? Discuss it.

There are the following factors which are considerable when sitting a price.

Price are in different types, for example, tax, rate, fees, tuition, interest, fare, toll etc.

Internal factors: marketing objectives, marketing mix strategy, costs, organizational consideration.

External factors: nature of market and demand, competition, environmental factor i.e. economic and government. Both profit and non profit organization use pricing strategies.

Question No: 54 (Marks: 10)

Mr. Danish is a marketing head of credit card department at bank UBL. He is interested in establishing a sales force to market the bank Visa card. What do you understand by the term “sales force” and what steps Mr. Danish will take to manage the sales force?

Sales force: sales force are those people who represent the company to the costumers and act as an intermediary linking costumers to the company.

Mr. Danish will first analyze the sales force. After that he will plan, implement and control the sales force. In alkalizing of sales force Danish will select the best sale force that are initiative, self confident and enthusiastic he will train his sales force according to the rules and regulation of the company. Compensation is also very important for sales force. By supervision Danish can motivates the sale force.